Organic Growth

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Written by: Steve Vorster
Reviewed by: Jenna Quinn
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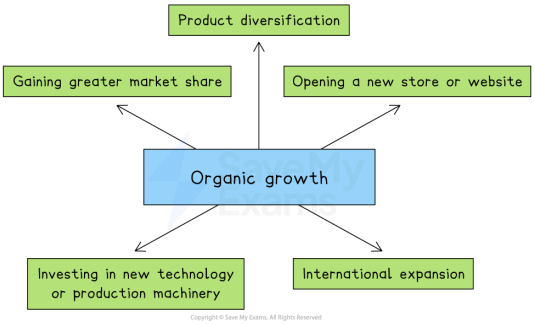
Organic business growth

- Organic growth is growth that is **driven by internal expansion** using reinvested profits or loans



Organic growth may be achieved through product diversification, opening new physical or online stores, or expanding internationally

Types of organic growth

Gaining greater market share

- By attracting more customers from competitors or increasing sales to existing customers, a business can grow its revenue without merging or acquiring another firm
  - E.g. **Aldi** has gained UK market share by offering low prices and expanding its product range

Product diversification

- Launching new products allows a business to target new customer needs, increase sales and reduce reliance on just one product
  - E.g. **Innocent** has moved from smoothies into fruit juices and snacks

Opening a new physical or online store

- Expanding the number of physical locations helps a business reach more customers and grow sales in new areas
  - E.g. **Greggs** has opened new outlets across the UK high street and within travel hubs such as railway

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channels
    - E.g. **Primark** launched its online click-and-collect service to reach more customers while keeping its focus on physical stores

International expansion

- Selling products in other countries allows a business to access larger markets and benefit from new customer bases
    - E.g. WH Smith has expanded into airport locations worldwide whilst reducing its presence on UK high streets

Investing in new technology or production machinery

- Improving production efficiency can increase output and reduce costs, allowing a business to meet rising demand and grow
    - E.g. **Jaguar Land Rover** invested in robotics and automation at its Solihull factory to boost production of electric and hybrid vehicles, helping it grow in the fast-changing automotive market

Evaluating organic growth

Advantages	Disadvantages

• **Lower risk**
  ○ Growth is steady and controlled by using existing resources, which reduces the chances of overexpansion or failure
• **Keeps the company culture**
  ○ The business expands using its own staff and systems, avoiding the risk of culture clashes that often happen with mergers or takeovers
• **Retains full ownership**
  ○ Original owners or shareholders keep full control, as there's no need to share decision-making with another company
• **Easier to finance**
	• **Slow growth**
	  ○ Organic growth takes time, which may be too slow in fast-moving markets or when competitors are expanding quickly
	• **Risk of missed opportunities**
	  ○ The business may miss out on acquiring rivals, accessing new technologies or having fast access to new markets
	• **Limited resources**
	  ○ Growth depends on what the business can afford or manage, so it may be restricted by cash flow, staffing or capacity
	• **Over-reliance on the existing market**
	  ○ If a business grows by doing more of

profits or small loans, without the need for large external investment • **Builds on existing strengths** ○ Businesses can focus on what they already do well — for example, opening more stores in areas where the stores are already popular	market or product, which is especially risky if trends change

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